Farmers' income is the net sales price farmers get of their agricultural produce minus the cost of cultivation incurred to produce the same. As their operational holdings are small—less than a hectare on average—they end up earning very low profits/income as such small landholdings only deliver a very small agri output for sales. Farmers' incomes in India on average are about one-fifth of other workers and about 30 per cent of the national average income.

The goal of doubling farmers' income has not been very well defined. Nor has a coherent policy and strategy been spelt out to achieve this. Farmers' income needs to be raised at least five times to bring about a worthwhile change in their lives. This requires a multipronged strategy. Primarily, it requires agriculture to be made into a business for farmers to make decent profits out of their hard work and enterprise.

There are five critical planks of the policy, strategy and programmes to achieve the goal of making farming a business enterprise. First, an average farmer's operational landholding needs to become large enough to support earning a decent income. At the minimum, the average operational holding of a farming family needs to become five times of what he cultivates presently. This will raise turnover at least five times to make profit/income five times of the average income today. Second, farmers need to get stable and predictable prices for their agricultural produce from the market, including by locking in output prices before taking up cultivation. Third, farmers should be able to choose the right amount and quality of the inputs to economize/reduce/optimize the cost of cultivation. Fourth, land should become an operating asset, instead of an illiquid liability; farmers should be completely free to use all the properties in the land to get the best out of their land asset. Fifth, the skill sets of farming families need to expand beyond traditional agriculture for them to use their collective labour most productively.